

23STCV11287 23STCV11287

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Case Number: 23STCV11287 Hearing Date: September 11, 2026 Dept: 413

TENTATIVE RULING

HEARING DATE: September 11, 2026

CASE NUMBER: 23STCV11287

CASE NAME: Urban Fitz, Inc. v. AFMK, Inc., et al.

MOVING PARTY: (1) Defendant AFMK, Inc.

(2) Defendant Moiz Kaboud

(3) Defendant Maurice Kaboud

OPPOSING PARTY: Plaintiff Urban Fitz, Inc.

PROCEEDING: MOTIONS FOR NEW TRIAL

RULING SUMMARY: The motions for new trial are DENIED.

The

Court will correct a mathematical error in its prejudgment interest

calculation.

Plaintiff

tried its claims to a jury in two phases on June 16-18 and 22-25, 2026.

On June

24, 2026, the jury returned a Phase One verdict against all three defendants on

all four of Plaintiff's claims, finding each defendant jointly and severally

liable for the invoices' \$487,395.60 principal value. The jury also found each

defendant jointly liable for prejudgment interest. The jury found AFMK and

Moiz, but not Maurice, guilty of malice, etc. for purposes of punitive

liability.

On June

25, 2026, the jury returned a Phase Two verdict imposing \$3.5 million punitive

damages against Moiz and \$1.00 punitive damages against AFMK.

On July

1, 2026, the Court entered judgment for:

(1) \$487,395.60 in principal compensatory

damages and \$243,697.80 in prejudgment interest, jointly and severally against

all three defendants (but without treble damages for civil theft);

(2) \$3.5 million in punitive damages against Moiz only;

(3) \$1.00 in punitive damages against AFMK only;

(4) costs of suit; and

(5) attorney fees by motion based on Plaintiff's successful

civil theft claim.

On July 16, 2026, Defendants timely filed three separate

Notices of Intent to Move for New Trial. (On the same date, Plaintiff filed a

Notice of Motion to Vacate the Judgment and Enter a Different Judgment; that

motion is set for hearing on October 14, 2026.)

Each of the Defendants

seeks an order granting a new trial on the following: (1) the award of

\$3,500,000 in punitive damages, (2) the award under Penal Code section 496, (3)

the award on the breach of contract claim, (4) the grounds that witness

Nasimi's testimony created unfair surprise and the ruling denying admission of

an original declaration, and (5) the award of prejudgment interest, as well as

other evidentiary rulings and a ruling on a motion after the evidence phase was

completed regarding the statute of limitations on the Penal Code section 496

claim. Each of the Defendants seeks a

new trial on the following grounds under Code of Civil Procedure section 657:

irregularity in the proceedings of the court or adverse party, or any order of

the court or abuse of discretion, which precluded a fair trial to each of them;

accident or surprise that ordinary prudence could not have guarded against; insufficiency

of the evidence to justify the verdict, or because the verdict is against law;

error in law at the trial.

The

parties set page limits and a briefing schedule for their motions in conference with the Court.

On

August 6, 2026, Defendants filed separate memoranda in support of their motions for new trial. On August 24, 2026, Plaintiff filed an opposition to each motion. On August 31, 2026, Defendants filed their replies.

The

Court discusses the three motions together, because Defendants' asserted grounds for new trial overlap considerably.

MOTIONS FOR NEW

TRIAL

I. Legal Standard

"A

verdict may be vacated and any other decision may be modified or vacated, in whole or in part, and a new or further trial granted on all or part of the issues on the application of the party aggrieved, for any of the following causes, materially affecting the substantial rights of such party:¿

¿ 1.¿Irregularity in the proceedings of

the court, jury¿or adverse party, or any order of the court or abuse of

discretion by which either party was prevented from having a fair trial.¿ ...

2. Accident or surprise, which ordinary prudence could not

have guarded against. ...

5. Excessive or

inadequate damages.

6. Insufficiency of the evidence to

justify the verdict or other decision, or the verdict or other decision is

against law.

¿

7. Error in¿law, occurring at the trial

and¿excepted to by the party making the application."

(Code

Civ. Proc., § 657.)¿

When

ruling on an application for a new trial, the court sits as an independent

trier of fact.¿(Lane v. Hughes Aircraft Co. (2000) 22 Cal.4th¿405,

412.)¿The court has broad discretion to order new trials, limited only by the

obligation to state its reasons for granting a new trial and the existence of

substantial evidence in the record to support those reasons.¿(Ibid.)

In reviewing a motion for new

trial, the Court independently evaluates all of the evidence as a whole to determine whether it was sufficient to support the verdict. (Ryan v. Crown Castle NG Networks, Inc. (2016) 6 Cal.App.5th 775, 7854-85.) While the Court must weigh the evidence independently, it is “guided by a presumption in favor of the correctness of the verdict and proceedings supporting it.” (Id. at 785 (citing People v. Davis (1995) 10 Cal.4th 523-24.)

Where, in conducting this review, the Court determines that it might have decided the case differently, the Court will uphold the verdict if it finds that there is sufficient credible evidence to support it. (Id. at 786.) As more fully explained below, that is the case here; the Court finds that sufficient credible evidence supports the verdict. It does not find the view of the evidence by the moving parties is “so compelling as to warrant a new trial.” (Id.)

Notwithstanding the court’s broad discretion, “[n]o judgment shall be set aside, or new trial granted, in any cause, on the ground of misdirection to the jury, or of the improper admission or rejection of evidence, or for any error as to any matter of pleading, or for any error as to any matter of procedure, unless, after an

examination of the entire cause, including the evidence, the court shall be of

the opinion that the error complained of has resulted in a miscarriage of

justice.” (Cal. Const., art. VI, § 13.)

“[T]he trial court, no less than

the appellate court, is expressly enjoined by article VI, section 4-1/2 [no §

13], of our Constitution from granting a new trial for error of law unless such

error is prejudicial. If it clearly

appears that the error could not have affected the result of the trial, the

court is bound to deny the motion. [Citations omitted.]” (Bristow v. Ferguson (1981) 121

Cal.app.3d 823,826.)

A

judgment in a civil case may be reversed due to instructional error only if it

appears from the record that 1) the error was prejudicial; 2) by reason of the

error, the appellant sustained substantial injury and 3) a different result

would have been reasonably probable absent the error. (Id.; Code Civ.

Proc., §475; Elsner v. Uveges (2004) 34 Cal.4th 915, 939; Zagami Inc.

v. James A. Crone, Inc. (2008) 160 Cal. App. 4th 1083, 1094.)

“Reasonable probability” means “merely a reasonable chance, more than an abstract

possibility”; a “ ‘probability sufficient to undermine confidence in the

outcome.’ ” (College Hospital Inc. v. Superior Court (1994) 8 Cal.4th

704, 715.)

There

is no automatic reversal due to a failure to properly instruct. (Donovan v.

Poway Unified Sch. Dist. (2008) 167 Cal. App. 4th 567, 608.)

As more fully explained below, the

Court also does not find that any errors in its rulings, as alleged by

Defendants, support an order granting a new trial. The Court believes that the rulings

identified in the Defendants' moving papers were correctly made. To the extent that any or all were in error,

it clearly appears that the errors could not have affected the result at

trial.

II. Evidentiary Objections

Defendant

Moiz Kaboud and AFMK's joint objections to the Declaration of Michael Vivoli

are SUSTAINED in their entirety.

III. Discussion

Defendants

argue new trial is warranted based variously on irregularity in the

proceedings, accident or surprise, excessive damages, insufficiency of the

evidence, or errors in law. The Court takes up the arguments out of order in

the interest of clarity.

A. Accident or Surprise

All

three Defendants argue new trial is warranted based on the surprise reversal in

the testimony of third-party witness Adrian Nasimi and the Court's refusal to

admit several of Defendants' exhibits while they attempted to prove Defendants'

version of events in the face of Nasimi's unexpected reversal.

The

Court also does not find that surprise in connection with the testimony of

non-party witness Nasimi supports an order granting a new trial. Where a party seeking a new trial relies on

surprise, that is, "some condition or a situation in which a party to an action

is unexpectedly placed to his detriment," as the ground, the "condition or

situation must have been such that ordinary prudence on the part of the person

claiming surprise could not have guarded

against and prevented it. Such party

must not have been negligent in the circumstances. [Citations omitted.]" (Wade v. De Benardi (1970) 4

Cal.App.3d 967, 971.) In addition,

Defendants have not made a showing of the other element required to support a

new trial – that they "will have other evidence which could produce a different

result upon retrial. [Citations omitted.]"

(Id. at 972.)

Mr.

Nasimi's change in testimony wrought no unfair surprise. Defendants' case law –

Dickison v. Howen (1990) 220 CA3 1478-1479 (Dickinson) and Whitfield

v. Debrincat (1937) 18 CA2 734 (Whitfield) – is distinguishable. Dickinson

reviewed the augmentation of a party's expert witness list in response to its

opponent's newly-presented expert. In Whitfield, a party-affiliated witness testified

opposite to the party's expectations, then the witness presented a declaration

saying he had been confused and meant to testify otherwise. Here, a witness

affiliated with neither party recanted prior testimony. It is undisputed he

informed Defendants of his decision several days prior to his changed

testimony. And Defendants had ample opportunity to impeach him on the stand.

The Court's exclusion of Nasimi's prior declaration

and related exhibits does not change this result. As noted, Mr. Nasimi's

credibility was amply explored on the stand, including through comparison of

his trial testimony with his inconsistent videotaped deposition, at length. Defendants

concede that "the substance [of Nasimi's inconsistent declaration] was [not]

kept from the jury; counsel read much of it aloud" in open court. (Moiz Mot.,

22:14-16.) Further exploration of this issue at trial could have been excluded

as cumulative or inefficient pursuant to Evidence Code section 352, as the

trial threatened to devolve into a trial-within-a-trial over the authenticity

of Nasimi's signature on various documents.

B.

Irregularities or Errors in Law Regarding Plaintiff's Claim for Civil Theft

Defendants also contend they are entitled to

new trial on Plaintiff's claim for civil theft because the Court (1) improperly

rejected a statute of limitations defense and (2) erroneously instructed the

jury on the requisite intent.

1.

Statute of Limitations Defense

As a threshold matter: Defendants take issue

with the Court's granting "judgment on the pleadings" on Defendants' statute of

limitations defense. The Court functionally granted a directed verdict on the

defense; the fact that it was referred to as a judgment on the pleadings, even

if such judgment were improper, would not be grounds for new trial. (See City & County of San Francisco v. Muller (1960) 177 Cal. App. 2d 600, 603 ["The law is

not a mere game of words."].)

A directed verdict on the limitations

defense was supported by the evidence. Contrary to Defendants' assertion, Plaintiff

did not testify he first discovered Moiz's fraud on April 1, 2022. He testified

he first discovered it during Moiz's deposition in 2024. There was insufficient

evidence to the contrary for the matter to be submitted to the jury, so it was

not.

Maurice's papers seem to suggest the statute

should apply differently to him because he was not identified until the

operative third amended complaint. But Maurice was named as a Doe defendant

from the outset of the suit. The civil theft allegations relate back to the

first filing, and they are as timely against Maurice as against his

co-defendants.

2.

Jury Instruction

The Court instructed the jury according to

the standard CACI instructions on civil theft. The instructions properly state

the law. Defendants' proposed quotation to *Siry Investment, L.P. v.*

Farkhondehpour (2022) 13 Cal.5th 333 (*Siry Investment*) regarding commercial defaults and criminal

intent would only serve to confuse the jury. Moreover, CACI No. 1930 does

define criminal intent for purposes of section 496(c) in its final paragraph

where it describes "the intent either to permanently deprive the owner of that

property or to deprive the owner of a major portion of the value or enjoyment

of the property for an extended period of time."

As to application of Penal Code section

532(b): Defendants do not make a reasoned argument why a standard of evidence

applicable in criminal trials should be imported into this civil case. And in any case, Defendants did not request this instruction or ask that it be applied during trial; they have forfeited this objection to the result.

Maurice also cites a comment to CACI No.

1930 stating that the instruction must be modified if the defendant is a principal in the theft or extortion. Maurice was not alleged to be a principal; to the extent he is treated as a principal as AFMK's alter ego, he does not explain how the instruction needed modification to avoid prejudice.

C.

Alter Ego and Joint and Several Liability

Defendants argue the jury was erroneously and prejudicially instructed regarding the defendants' alter ego and joint and several liability, in a manner that permitted AFMK's liability to be improperly ascribed to Moiz and Maurice and AFMK and Moiz's liability to be improperly ascribed to Maurice.

As a threshold matter, on alter ego: as a matter of constitutional law, no new trial may be ordered based on an error of law unless the error wrought a miscarriage of justice. (See Cal. Const., art. VI, § 13.) The evidence at trial amply demonstrated that Moiz and Maurice both operated AFMK as their alter ego. Even if some procedural irregularity occurred

in the instruction to the jury, or from the court's failure to expressly

adjudicate alter ego prior to the verdict, no injustice was wrought by these purported

irregularities.

The alter ego finding is sufficient to hold

all three defendants liable jointly and severally, without any resort to their

participation or knowledge as directors or shareholders:

“

‘Where the alter ego theory is proved, corporation owners are “essentially

partners operating through a corporate form, and they are liable for its

debts.”’ ... Partners, after all, are, by statute, agents of the

partnership, bind the partnership in partnership matters, and are jointly and

severally liable for partnership debts. ... And a partnership is liable for the

acts of its partners. ... These are statutory commands beyond the sometimes

blurry realm of equity. The Legislature has determined that a partnership has

the sort of unity of interest with its partners that can support partnership

liability.”

(8451 Melrose Property, LLC v. Akhtarzad (2026)

121 Cal.App.5th 1258, 1282, internal citations omitted; see also Minnesota

Mining & Manufacturing Co. v. Superior Court (1988) 206 Cal.App.3d

1025, 1028 [“ [T]he partners of a partnership are jointly and severally liable

for the conduct and torts injuring a third party committed by one of the

partners. [Citations.]' "], quoting *Black v. Sullivan* (1975) 48

Cal.App.3d 557, 569.)

Put simply: because Maurice and Moiz

operated AFMK as their alter ego, contracts entered into and torts committed

through AFMK are assignable to Maurice and Moiz together as partners in that

enterprise. There is no independent requirement that they authorize or have

knowledge of each others' wrongdoing.

No legal error wrought a miscarriage of

justice on Maurice and Moiz's alter ego liability, which is sufficient for them

to be jointly and severally liable on AFMK's contracts and for wrongdoing

perpetrated through AFMK.

D.

Statute of Frauds

For similar reasons, no prejudice was

wrought from the Court's declining to instruct the jury on the statute of

frauds. Defendants were directly liable for all the conduct at issue including

on non-contract theories that did not implicate the statute.

Plaintiff also argues the jury's verdict

satisfies a fraud-based "exception" to the statute of frauds, if the statute

were to apply. Fraud is not, strictly speaking, an exception to the statute of frauds; it does not make an otherwise-unenforceable contract enforceable. (Reeder v. Specialized Loan Servicing LLC (2020) 52 Cal.App.5th 795, 802.)

However, a party may be estopped from asserting the statute to prevent “the unconscionable injury that would result from denying enforcement of the contract after one party has been induced by the other seriously to change his position in reliance on the contract[.]” (Monarco v. Lo Greco (1950) 35 Cal.2d 621, 623.) Such is the case here. The evidence adduced at trial amply demonstrated that the parties are estopped from relying on the statute of frauds to defeat enforcement of any of the contracts at issue, including Moiz’s personal guarantee.

E.

Account Stated

There is no prejudice resulting from the jury’s verdict on Plaintiff’s claim for an account stated, given that the same damages were also awarded on the fraud and breach of contract claims.

F.

Excessive Punitive Damages

Moiz individually argues that the jury’s punitive damage award against him was excessive and should be vacated or

reduced. Specifically, Moiz contends the jury failed to consider his financial condition because Plaintiff failed to move a particular exhibit demonstrating Moiz's financial condition into evidence.

The Court rejects this argument. Moiz failed to produce his financial information during discovery then failed to produce it timely prior to Phase Two of trial despite the Court's express order. A party that fails to produce financial condition evidence in violation of a court order forfeits his right to complain that an award is excessive for lack of evidence. (See *Mike Davidov Co. v. Issod* (2000) 78 Cal.App.4th 597, 609 ["[b]y his disobedience of a proper court order, defendant improperly deprived plaintiff of the opportunity to meet his burden of proof on the issue [of financial condition] ... [d]efendant may not now be heard to complain about the absence of such evidence".].)

Moreover, the Court does not find that the amount of punitive damages awarded violates any constitutional limitations imposed on punitive damages.

G.

Prejudgment Interest Calculation

Defendants are correct that there is a small error in the calculation of prejudgment interest. Although the jury made

threshold findings permitting imposition of prejudgment interest based on Plaintiff's fraud claims, the jury did not make findings on a rate or accrual date as required by Civil Code section 3288. Thus, interest is awarded at a 10% per annum rate according to Civil Code sections 3287 and 3289. Defendants' breaches occurred when they failed to pay four invoices within ninety days of delivery. The accrual from breach through judgment is as follows:

Invoice Total
Date of
Breach
Per Diem Interest
Days Elapsed
Total Interest Owed
\$79,194.00
5/3/21
\$21.70
1885
\$40,904.50
\$24,048.00
6/15/21
\$6.59

1842

\$12,138.78

\$192,000.00

7/13/21

\$52.60

1814

\$95,416.40

\$192,153.60

7/25/21

\$52.64

1802

\$94,857.28

TOTAL

\$243,316.96

The Court awarded \$380.84 in excessive

prejudgment interest. The judgment will be corrected in this respect.

Conclusion

Defendants'

Motions for New Trial are DENIED.

On its

own motion, the Court will amend the judgment to reflect a corrected

prejudgment interest award of \$243,316.96 as of the date of entry of judgment.

Date: September

_____, 2026 _____

William

E. Weinberger

Judge,

Los Angeles Superior Court